IB Economics - Topic 4.3: Teacher and AI Grading Guide

Arguments For and Against Trade Protection | Questions 1-30

Scope and assessment status

Each original paired question has (a) 10 marks and (b) 15 marks. All 30 questions assess shared SL/HL content. Difficulty: 6 Easy, 15 Medium, 9 Hard pairs, distributed through the bank. Level and difficulty are independent.

The current syllabus lists a defined set of arguments for protection and its costs; this bank tests their mechanisms, trade-offs and conditions.

The uploaded Economics for the IB Diploma textbook (second edition, 2012) was used for conceptual verification. The current guide controls this topic’s numbered scope and HL boundaries.

These are original adapted Paper 1-style practice questions, not official IB examination or marking material. The question bank revisits syllabus mechanisms through distinct explanatory and evaluative tasks; the pairs are alternatives for practice, not separate official learning outcomes.

Thirty distinct pairs cover the defined arguments and evaluative comparisons in Topic 4.3. Fifty would repeat the same claims or assess policies belonging to Topics 4.1/4.2.

Coverage blueprint

Infant industries: Questions 1-3

Security: Questions 4-6

Standards: Questions 7-9

Unfair trade: Questions 10-12

Jobs: Questions 13-15

Revenue balance: Questions 16-18

Diversification: Questions 19-21

Costs: Questions 22-27

Synthesis: Questions 28-30

Marking principles

Use best-fit assessment for each part, not a fixed marks-per-keyword checklist. Credit accurate alternatives addressing the task. Do not require every example or qualification below.

Part (a): 10 marks

Practice bands: 0; 1-2 limited; 3-4 mainly descriptive; 5-6 partial explanation; 7-8 clear and accurate causal analysis; 9-10 fully developed explanation with any required diagram or calculation. These abbreviated bands are not official IB descriptors.

Part (b): 15 marks

Practice bands: 0; 1-3 very limited; 4-6 superficial; 7-9 developed but weakly balanced; 10-12 balanced analysis and evaluation; 13-15 sustained, applied evaluation and supported judgment. A named case alone is not developed application.

Diagram and AI grading

For each diagram explicitly requested, credit an economically correct alternative with proper axes, equilibrium or reference lines, directions of change, and interpretation. Numerical responses require method, units and an explanation; do not award a final number with a contradictory mechanism.

Record separate marks for (a) and (b), band evidence, diagram or numerical features if relevant, economic misconceptions, quality of real-world application, and one actionable improvement per part. If a student drawing is unclear, flag the uncertainty rather than assuming correctness.

Question 1

Easy | SL/HL | 25 marks

Topic 4.3: Infant industries

(a) [10] Explain why a newly established industry may struggle against experienced foreign producers.

(b) [15] Using real-world examples, evaluate whether temporary protection can help an infant industry become competitive.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Young firms may lack scale and learning; limited support can permit cost reductions if sunset conditions work.

Required reasoning. Young firms may lack scale and learning; limited support can permit cost reductions if sunset conditions work.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes infant industries from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Young firms may lack scale and learning; limited support can permit cost reductions if sunset conditions work.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why infant industries may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 2

Medium | SL/HL | 25 marks

Topic 4.3: Infant industries

(a) [10] Explain how learning by doing can support the infant-industry case for protection.

(b) [15] Using real-world examples, discuss whether governments can reliably identify future competitive industries.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Young firms may lack scale and learning; limited support can permit cost reductions if sunset conditions work.

Required reasoning. Experience can lower unit cost, but selection mistakes can prolong dependence.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes infant industries from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Experience can lower unit cost, but selection mistakes can prolong dependence.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why infant industries may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 3

Hard | SL/HL | 25 marks

Topic 4.3: Infant industries

(a) [10] Explain why the infant-industry argument implies that protection should be temporary.

(b) [15] Using real-world examples, evaluate whether a protected industry will voluntarily accept removal of support.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Young firms may lack scale and learning; limited support can permit cost reductions if sunset conditions work.

Required reasoning. Once scale and learning occur the rationale weakens; political capture can perpetuate barriers.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes infant industries from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Once scale and learning occur the rationale weakens; political capture can perpetuate barriers.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why infant industries may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 4

Medium | SL/HL | 25 marks

Topic 4.3: Security

(a) [10] Explain why national security may justify domestic production of selected goods.

(b) [15] Using real-world examples, discuss whether security concerns support broad import restrictions.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Reliable local capability can matter in emergencies, while blanket barriers impose costs.

Required reasoning. Reliable local capability can matter in emergencies, while blanket barriers impose costs.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes security from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Reliable local capability can matter in emergencies, while blanket barriers impose costs.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why security may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 5

Medium | SL/HL | 25 marks

Topic 4.3: Security

(a) [10] Explain how dependence on a single foreign supplier can affect national security.

(b) [15] Using real-world examples, evaluate whether diversification of imports is preferable to domestic protection.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Reliable local capability can matter in emergencies, while blanket barriers impose costs.

Required reasoning. Supply concentration raises disruption risk; multiple sources can reduce it without costly autarky.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes security from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Supply concentration raises disruption risk; multiple sources can reduce it without costly autarky.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why security may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 6

Easy | SL/HL | 25 marks

Topic 4.3: Security

(a) [10] Explain why strategic production may need support even when imports are cheaper.

(b) [15] Using real-world examples, discuss whether strategic importance can be measured objectively.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Reliable local capability can matter in emergencies, while blanket barriers impose costs.

Required reasoning. Private prices may omit resilience benefits; government identification and implementation are uncertain.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes security from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Private prices may omit resilience benefits; government identification and implementation are uncertain.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why security may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 7

Hard | SL/HL | 25 marks

Topic 4.3: Standards

(a) [10] Explain how health and safety concerns can support restrictions on imported goods.

(b) [15] Using real-world examples, evaluate whether consumer protection requires banning imports.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Standards can address harmful goods; testing and equivalent foreign compliance may be less restrictive.

Required reasoning. Standards can address harmful goods; testing and equivalent foreign compliance may be less restrictive.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes standards from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Standards can address harmful goods; testing and equivalent foreign compliance may be less restrictive.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why standards may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 8

Medium | SL/HL | 25 marks

Topic 4.3: Standards

(a) [10] Explain why different environmental standards can affect the case for trade protection.

(b) [15] Using real-world examples, discuss whether tariffs are an effective way to reduce global pollution.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Standards can address harmful goods; testing and equivalent foreign compliance may be less restrictive.

Required reasoning. Unequal rules may shift polluting production abroad; targeted measures have design and retaliation risks.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes standards from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Unequal rules may shift polluting production abroad; targeted measures have design and retaliation risks.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why standards may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 9

Hard | SL/HL | 25 marks

Topic 4.3: Standards

(a) [10] Explain how a country might use import rules to prevent unsafe products from reaching consumers.

(b) [15] Using real-world examples, evaluate whether such rules can also protect inefficient domestic firms.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Standards can address harmful goods; testing and equivalent foreign compliance may be less restrictive.

Required reasoning. Verification protects safety but high compliance costs can shield incumbents.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes standards from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Verification protects safety but high compliance costs can shield incumbents.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why standards may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 10

Medium | SL/HL | 25 marks

Topic 4.3: Unfair trade

(a) [10] Explain what dumping means in the context of trade protection.

(b) [15] Using real-world examples, discuss whether a low import price is sufficient evidence of dumping.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Sale below an appropriate benchmark requires evidence; lower costs alone do not establish unfair conduct.

Required reasoning. Sale below an appropriate benchmark requires evidence; lower costs alone do not establish unfair conduct.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes unfair trade from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Sale below an appropriate benchmark requires evidence; lower costs alone do not establish unfair conduct.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why unfair trade may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 11

Easy | SL/HL | 25 marks

Topic 4.3: Unfair trade

(a) [10] Explain why alleged unfair foreign subsidies may prompt domestic protection.

(b) [15] Using real-world examples, evaluate whether countervailing duties improve welfare.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Sale below an appropriate benchmark requires evidence; lower costs alone do not establish unfair conduct.

Required reasoning. Foreign support can distort competition; a duty also raises costs for domestic consumers.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes unfair trade from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Foreign support can distort competition; a duty also raises costs for domestic consumers.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why unfair trade may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 12

Medium | SL/HL | 25 marks

Topic 4.3: Unfair trade

(a) [10] Explain why anti-dumping action may benefit domestic producers.

(b) [15] Using real-world examples, discuss whether anti-dumping rules can be misused.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Sale below an appropriate benchmark requires evidence; lower costs alone do not establish unfair conduct.

Required reasoning. A duty raises import price, protecting firms; domestic industries may seek relief without genuine harm.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes unfair trade from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. A duty raises import price, protecting firms; domestic industries may seek relief without genuine harm.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why unfair trade may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 13

Hard | SL/HL | 25 marks

Topic 4.3: Jobs

(a) [10] Explain how import competition can threaten jobs in a domestic industry.

(b) [15] Using real-world examples, evaluate whether tariffs preserve more jobs than they cost.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Imports may displace local output; input-price rises and retaliation can cost jobs elsewhere.

Required reasoning. Imports may displace local output; input-price rises and retaliation can cost jobs elsewhere.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes jobs from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Imports may displace local output; input-price rises and retaliation can cost jobs elsewhere.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why jobs may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 14

Medium | SL/HL | 25 marks

Topic 4.3: Jobs

(a) [10] Explain why job losses from trade can be concentrated in particular regions.

(b) [15] Using real-world examples, discuss whether national gains from free trade compensate affected workers automatically.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Imports may displace local output; input-price rises and retaliation can cost jobs elsewhere.

Required reasoning. Industry clusters create local adjustment problems; gains to consumers are dispersed.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes jobs from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Industry clusters create local adjustment problems; gains to consumers are dispersed.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why jobs may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 15

Medium | SL/HL | 25 marks

Topic 4.3: Jobs

(a) [10] Explain how temporary protection might allow workers time to retrain.

(b) [15] Using real-world examples, evaluate whether retraining support is preferable to import barriers.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Imports may displace local output; input-price rises and retaliation can cost jobs elsewhere.

Required reasoning. A phase-in can ease adjustment, but protection raises prices and may delay adaptation.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes jobs from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. A phase-in can ease adjustment, but protection raises prices and may delay adaptation.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why jobs may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 16

Easy | SL/HL | 25 marks

Topic 4.3: Revenue balance

(a) [10] Explain how import tariffs can provide revenue to a government with limited tax capacity.

(b) [15] Using real-world examples, discuss whether tariff revenue justifies restricting trade.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Border taxes are administratively convenient but distort consumption and production.

Required reasoning. Border taxes are administratively convenient but distort consumption and production.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes revenue balance from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Border taxes are administratively convenient but distort consumption and production.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why revenue balance may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 17

Hard | SL/HL | 25 marks

Topic 4.3: Revenue balance

(a) [10] Explain why a government may seek to reduce imports to address a current-account deficit.

(b) [15] Using real-world examples, evaluate whether import restrictions can correct a persistent external imbalance.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Border taxes are administratively convenient but distort consumption and production.

Required reasoning. Barriers can reduce selected imports but exchange rates, retaliation and domestic demand matter.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes revenue balance from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Barriers can reduce selected imports but exchange rates, retaliation and domestic demand matter.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why revenue balance may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 18

Medium | SL/HL | 25 marks

Topic 4.3: Revenue balance

(a) [10] Explain why protecting an export-linked input industry could affect a country's trade balance.

(b) [15] Using real-world examples, discuss whether protection improves external competitiveness.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Border taxes are administratively convenient but distort consumption and production.

Required reasoning. Higher input costs can make final exports less competitive, offsetting import savings.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes revenue balance from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher input costs can make final exports less competitive, offsetting import savings.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why revenue balance may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 19

Hard | SL/HL | 25 marks

Topic 4.3: Diversification

(a) [10] Explain why a commodity-exporting economy may seek diversification through temporary protection.

(b) [15] Using real-world examples, evaluate whether import substitution creates sustainable development.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Support may build new industries, but domestic costs and small markets can frustrate scale.

Required reasoning. Support may build new industries, but domestic costs and small markets can frustrate scale.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes diversification from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Support may build new industries, but domestic costs and small markets can frustrate scale.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why diversification may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 20

Medium | SL/HL | 25 marks

Topic 4.3: Diversification

(a) [10] Explain how dependence on primary exports can strengthen an ELDC's case for selective trade protection.

(b) [15] Using real-world examples, discuss whether an ELDC should always shield manufacturing.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Support may build new industries, but domestic costs and small markets can frustrate scale.

Required reasoning. Price volatility and concentration justify diversification, but protection may entrench inefficiency.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes diversification from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Price volatility and concentration justify diversification, but protection may entrench inefficiency.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why diversification may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 21

Easy | SL/HL | 25 marks

Topic 4.3: Diversification

(a) [10] Explain why access to imported machinery can matter for diversification.

(b) [15] Using real-world examples, evaluate whether blanket tariffs are consistent with industrial development.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Support may build new industries, but domestic costs and small markets can frustrate scale.

Required reasoning. Imported capital supports new industries; broad tariffs can raise the cost of diversification.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes diversification from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Imported capital supports new industries; broad tariffs can raise the cost of diversification.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why diversification may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 22

Medium | SL/HL | 25 marks

Topic 4.3: Costs

(a) [10] Explain why trade protection can misallocate resources.

(b) [15] Using real-world examples, discuss whether the security benefit of protection can outweigh inefficiency.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Artificial prices draw factors toward higher-cost production; non-market benefits may justify exceptions.

Required reasoning. Artificial prices draw factors toward higher-cost production; non-market benefits may justify exceptions.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes costs from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Artificial prices draw factors toward higher-cost production; non-market benefits may justify exceptions.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why costs may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 23

Hard | SL/HL | 25 marks

Topic 4.3: Costs

(a) [10] Explain how an import barrier can raise prices for domestic consumers.

(b) [15] Using real-world examples, evaluate whether consumers always bear the full cost of protection.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Artificial prices draw factors toward higher-cost production; non-market benefits may justify exceptions.

Required reasoning. Reduced competition or a tariff raises domestic prices; incidence depends on market responses.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes costs from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Reduced competition or a tariff raises domestic prices; incidence depends on market responses.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why costs may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 24

Medium | SL/HL | 25 marks

Topic 4.3: Costs

(a) [10] Explain why retaliation can reduce the expected benefits of trade protection.

(b) [15] Using real-world examples, discuss whether unilateral protection can protect net employment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Artificial prices draw factors toward higher-cost production; non-market benefits may justify exceptions.

Required reasoning. Partners may restrict exports, harming firms and workers in other sectors.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes costs from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Partners may restrict exports, harming firms and workers in other sectors.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why costs may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 25

Medium | SL/HL | 25 marks

Topic 4.3: Costs

(a) [10] Explain how protection can reduce incentives for firms to improve productivity.

(b) [15] Using real-world examples, evaluate whether sheltered firms eventually become globally competitive.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Artificial prices draw factors toward higher-cost production; non-market benefits may justify exceptions.

Required reasoning. Less rival pressure may allow inefficiency; time-limited support and performance rules matter.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes costs from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Less rival pressure may allow inefficiency; time-limited support and performance rules matter.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why costs may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 26

Easy | SL/HL | 25 marks

Topic 4.3: Costs

(a) [10] Explain how tariffs on imported components can weaken export competitiveness.

(b) [15] Using real-world examples, discuss whether protecting upstream producers supports the whole economy.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Artificial prices draw factors toward higher-cost production; non-market benefits may justify exceptions.

Required reasoning. More expensive components raise downstream production costs and can lower exports.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes costs from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. More expensive components raise downstream production costs and can lower exports.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why costs may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 27

Hard | SL/HL | 25 marks

Topic 4.3: Costs

(a) [10] Explain why restricting imports can reduce consumer choice.

(b) [15] Using real-world examples, evaluate whether variety is a sufficient reason to maintain free trade.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Artificial prices draw factors toward higher-cost production; non-market benefits may justify exceptions.

Required reasoning. Fewer foreign options reduce variety, but quality and safety concerns can qualify the gain.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes costs from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Fewer foreign options reduce variety, but quality and safety concerns can qualify the gain.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why costs may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 28

Medium | SL/HL | 25 marks

Topic 4.3: Synthesis

(a) [10] Explain why an infant-industry tariff can create both dynamic benefits and immediate welfare costs.

(b) [15] Using real-world examples, evaluate the conditions under which infant-industry protection should end.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Learning may reduce future costs while current consumers face higher prices; measurable progress matters.

Required reasoning. Learning may reduce future costs while current consumers face higher prices; measurable progress matters.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes synthesis from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Learning may reduce future costs while current consumers face higher prices; measurable progress matters.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why synthesis may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 29

Hard | SL/HL | 25 marks

Topic 4.3: Synthesis

(a) [10] Explain why the case for national-security protection differs from an argument to preserve existing jobs.

(b) [15] Using real-world examples, discuss whether either argument warrants permanent barriers.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Learning may reduce future costs while current consumers face higher prices; measurable progress matters.

Required reasoning. Security involves resilience externalities, while jobs may be transitional and can be supported directly.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes synthesis from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Security involves resilience externalities, while jobs may be transitional and can be supported directly.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why synthesis may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 30

Medium | SL/HL | 25 marks

Topic 4.3: Synthesis

(a) [10] Explain how the distribution of gains and losses can shape support for trade protection.

(b) [15] Using real-world examples, evaluate whether national net gains from free trade settle the policy debate.

Part (a) - Indicative answer and marking guidance

Essential concepts. Each rationale for protection must be weighed against higher prices, resource misallocation, retaliation and lost competitiveness. Specifically: Learning may reduce future costs while current consumers face higher prices; measurable progress matters.

Required reasoning. Producer losses can be concentrated and politically salient even when diffuse consumer gains are larger.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes synthesis from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Producer losses can be concentrated and politically salient even when diffuse consumer gains are larger.

Counterargument and conditions. A plausible protective objective does not establish that a broad or permanent import barrier is the least costly instrument. For this focus, consider why synthesis may have a different effect across countries.

Application and real-world example. Use a named sector and verified WTO tariff/measure, identifying both the protected group and its consumers or downstream firms. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Sources and scope

The current IB Economics guide controls syllabus boundaries. The uploaded Economics for the IB Diploma, second edition (2012), is a supplementary conceptual check; its older chapter sequence and content cannot expand the current specification. Real-world examples are optional and should be checked against their cited sources.

IB guide. Current Economics guide, Unit 4 Topic 4.3; syllabus scope, diagrams, calculations and SL/HL boundaries.

Open source

WTO. Tariff and trade measures for case verification.

Open source

Final checks

30 paired questions; 6 Easy, 15 Medium, 9 Hard; All 30 questions assess shared SL/HL content. The student paper contains no answers or difficulty labels.